

12

# BANKING IN INDIA

*Banks are perhaps the most important financial intermediary. In the nineteenth century, banks mainly lent money to firms to help finance their inventories – which were held as collateral – in the cases of defaulters banks seized them. Gradually, banks expanded their lending activities – to finance houses and commercial real estates – holding the buildings as collateral. Emergence of the information technology has presented special problems to these traditional forms of finance – if the idea does not pan out, the firm may go bankrupt, but there is no collateral – there is little of value that the creditor can seize.**

- Introduction
- Bank & Non-Bank Institutions
- Non-Banking Financial Companies (NBFCs)
- Reserve Bank of India
- Base Rate
- Nationalisation and Development of Banking
- Financial Sector Reforms
- Banking Sector Reform
- New Rules for Opening Banks
- The Menace of NPAs
- Capital Adequacy Ratio
- Why to maintain CAR?
- Non-Resident Indian Deposits

* See Joseph E Stiglitz and Carl E Walsh, Economics, W W Norton, New Yok, USA, 4th Edition, 2006, p. 205.